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GMBA 5885 W01
Strategic Mgt Global Info Sys

Ethical and Social Issues in MIS

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Outline

Session 1 – Build the framework

- Why ethical and social issues arise in MIS
- Five issue domains from *Laudon et al. 18th Ch4*
- A managerial toolkit for ethical analysis

Session 2 – Debate and decision

- 20 min team preparation
- Two debates: Group A vs B, and Group C vs D
- Group E serves as judge panel for both debates

Personalization – Helpful or Harmful?

When personalization feels useful

- Saves time or reduces search costs
- Makes recommendations more relevant
- Improves convenience in shopping, travel, or media
- Feels aligned with your explicit preferences

When personalization feels uncomfortable

- Feels too accurate or too intimate
- Uses data you did not realize was collected
- Nudges behavior without your awareness
- Creates a sense of surveillance or loss of autonomy

The same digital capability can create both customer value and ethical risk. MIS leaders must decide where to draw the line – and justify why.

Personalization – Helpful or Harmful?

Where is your boundary?

- What data are you comfortable sharing?
- What data should be off-limits?
- When must consent be explicit?
- Who controls the boundary
- What happens when lines are crossed?
- How do regulations define consent?

Think deeper

- Does personalization create filter bubbles?
- Can algorithms nudge you without your awareness?
- Can recommendations shape your mindset over time?
- How o these influences affect autonomy and judgment?

What Do We Mean by “Ethics”

Principles of right and wrong that guide individual and organizational behavior

What to do
What people ought to do

How to choose
Navigating competing values and dilemmas

How to act
As a responsible moral agent

Why Ethical and Social Issues Arise in MIS

Visibility

MIS captures granular data about people, processes, locations, and behavior

Decision Power

Algorithms classify, rank, recommend, approve, deny, and prioritize

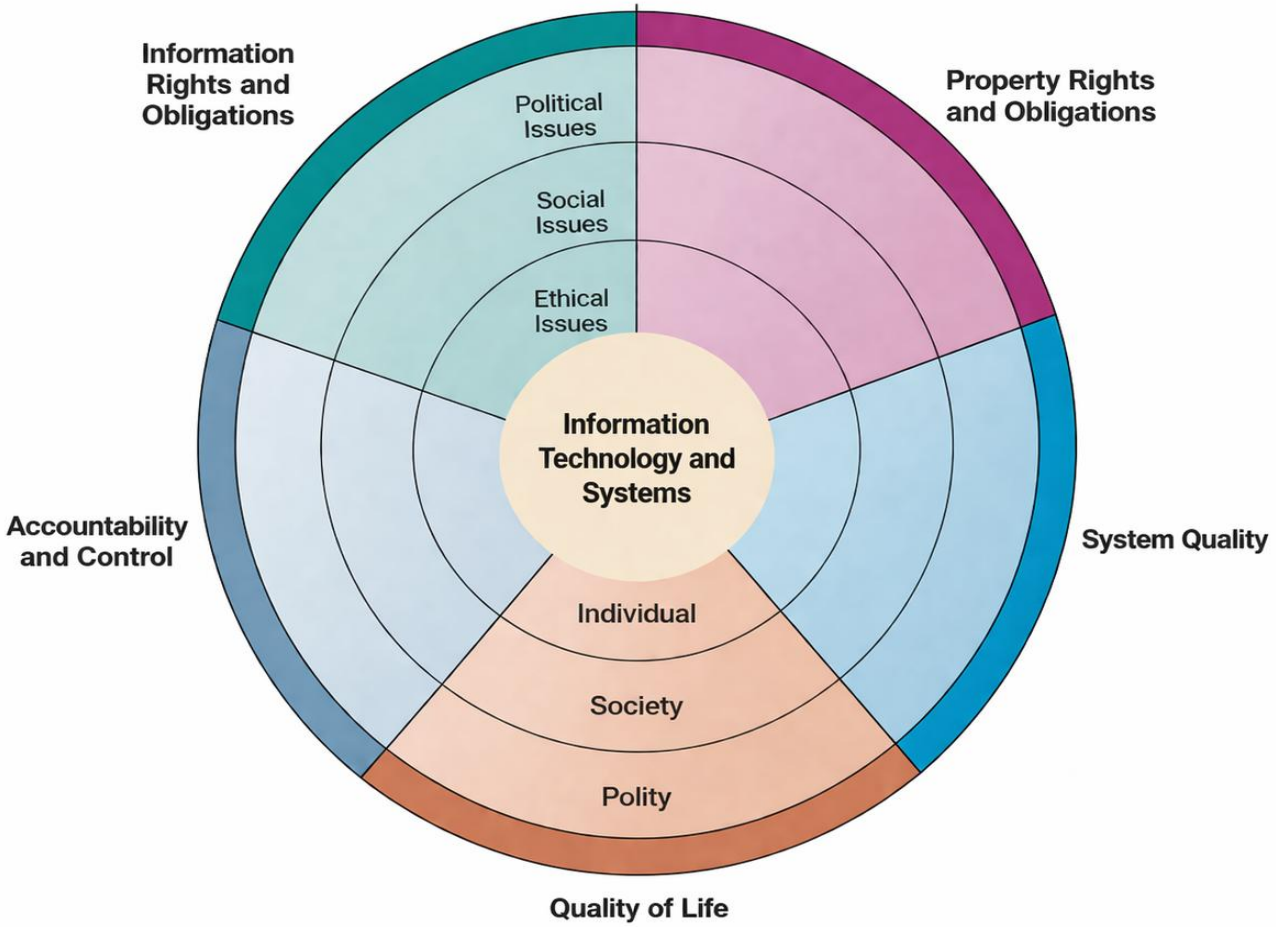
Scale & Speed

Digital systems operate faster and at larger scale than human oversight

Distribution of Risk

Benefits and harms are not shared equally across stakeholders

MIS-Related Ethical and Social Issues



Laudon et al. 18th ed. Chapter 4

Information Rights and Privacy

Core Question

Who has rights over data about an individual – the person, the platform, the organization collecting it, or some combination?

Managerial Tension

Firms want more data to personalize services, optimize decisions, and monetize attention; individuals want dignity, control, and protection from misuse.

Practical Standard

The right question is not only “Can we collect it?” but also “Should we collect it, keep it, infer it, or share it?”

Information Rights and Privacy

Why privacy is difficult to protect?

- Data collection is cheap, continuous, and often invisible
- Different datasets can be combined to infer sensitive traits and behaviors
- Users often trade privacy for convenience or do not understand the trade-off
- Consent flows are long, confusing, or strategically designed
- Technology evolves faster than regulation and enforcement

Privacy paradox

People say they care about privacy, yet frequently click “accept,” share data, and prioritize convenience in the moment.

Managerial implication

Weak resistance is not consent. Responsible design requires data minimization, meaningful consent, and transparency.

Information Rights and Privacy

Individual privacy rights empowered by the
European General Data Protection Regulation (GDPR)

- Right to information or notice
- Right to access
- Right to data portability
- Right to rectification or correction
- Right to erasure or deletion
- Right to be forgotten
- Right to objection and restriction (or opt out)
- Right to not be subject to automated decisions

The limitations of privacy rights (Solove 2022)

is-ought problem

实然 vs. 应然

Intellectual Property

Four Key Forms of IP

Copyright

Protects expression such as text, music, art, and code – not the idea itself.

Patent

Protects useful, novel, non-obvious inventions for a limited term.

Trademark

Protects names, logos, and brand identifiers that reduce confusion.

Trade secret

Protects valuable confidential know-how as long as secrecy is preserved.

AI debate trigger

The difficult questions now shift from classic protection to AI inputs and outputs: What data may be used to train models, and who owns model-generated text, images, or code?

System Quality and Reliability

What system quality includes

Reliability, accuracy, availability, security, resilience, usability, and safety when a system is embedded in real operations.

Why systems fail

Software bugs & design errors
Hardware or facility failures
Poor input data quality

Managerial dilemma

How much testing, redundancy, explainability, and human review are required before deployment?

“Good enough” depends on the consequences of failure.

Accountability and Control

When a system causes harm, the hardest question is often not what happened, but who answers for it.

- Developers build the model or software
- Managers define the goal, incentives, and rollout pressure
- Vendors provide infrastructure or black-box components
- Users may rely on outputs they do not fully understand
- Affected stakeholders bear the consequences without having designed the system

Why attribution is hard

Modern systems are sociotechnical: responsibility is distributed across people, processes, data, models, and platforms.

Managerial principle

Responsibility cannot be fully outsourced. If a firm deploys a system, it remains accountable for governance, monitoring, and remediation.

Quality of Life

MIS decisions do not stay inside the firm; they reshape markets, work, and everyday life.

Power concentration

A small number of platforms can shape information access, commerce, and public attention.

Inequality & bias

Digital divides and biased data can deepen unequal opportunity and discriminatory outcomes.

Work & boundaries

Automation and constant connectivity change jobs, stress, and the boundary between work and life.

Autonomy & culture

Recommendation systems can influence preferences, identity, and public discourse over time.

From Issue Spotting to Ethical Analysis

In MIS, many dilemmas involve **trade-offs**: innovation vs. privacy, profit vs. fairness, speed vs. reliability. A useful framework helps us compare these trade-offs systematically.

What the framework should do

- Clarify the facts
- Surface the competing values
- Identify who gains and who bears harm
- Compare realistic options
- Justify a defendable decision

What the framework should not do

- Reduce the issue to law only
- Assume “users agreed” ends the discussion
- Confuse popularity with legitimacy
- Treat every stakeholder’s interest as equally important in all cases

Five-step Ethical Analysis

1. Get the facts	What happened? What data, system, or decision is involved?
2. Define the dilemma	Which values, rights, or obligations are in conflict?
3. Identify stakeholders	Who benefits, who bears risk, and who has voice?
4. List realistic options	What actions are genuinely available – not only idealized ones?
5. Evaluate consequences	What are the short- and long-term effects of each option?

Guiding Ethical Principles

- *Golden Rule*: Treat others as you want to be treated.
- *Kant's Imperative*: If everyone did this, would society function?
- *Slippery Slope*: If repeated, does the action lead somewhere unacceptable?
- *Utilitarian Principle*: Choose the option that produces the greatest good.
- *Risk Aversion*: Choose the option with the least harm.
- *No-Free-Lunch Rule*: Assume all creations have owners who expect compensation.

Is Ethics a Competitive Disadvantage?

- Managers often ask:
  - Will less ethical rivals gain an edge over us?
  - Does integrity slow us down or cost us revenue?
  - Is ethics something we address only after growth?
- Flip the perspective:
  - Cutting ethical corners creates hidden costs — lost trust, reputational damage, regulatory risk
  - Ethics builds loyalty, attracts talent, and strengthens brand value
  - Short-term shortcuts often destroy long-term competitive position
- Reflect:
  - Have you seen a case where doing the right thing cost revenue or speed?
  - When is it hardest — for a company or for you — to stay ethical?
  - Can ethics be a source of competitive advantage? Where and how?

Debate

Preparation · 20 – 30 min

Each team clarifies its stance, collects evidence, chooses speakers, anticipates counterarguments, and prepares a short opening plus rebuttal points.

Debate 1

Topic 1

Group A vs Group B

Suggested speaking order:
Opening → rebuttal → closing

Group E serves as judge panel

Debate 2

Topic 2

Group C vs Group D

Suggested speaking order:
Opening → rebuttal → closing

Group E serves as judge panel

Debate

- Define your side's central claim in short
- Prepare 2 – 3 strongest reasons, not 8 weak ones
- Collect examples, cases, or platform situations that support your claim
- Anticipate the other side's best argument and prepare a response
- Assign roles: opening speaker, rebuttal speaker, closing speaker, evidence support

A strong opening should do three things

State the motion clearly, define key terms if needed, and present your side's roadmap.

A strong rebuttal should do two things

Show why the other side's logic is incomplete or flawed, then rebuild why your side still stands.

Do not over-prepare

Focus on clarity, evidence, and responsiveness – not memorizing a long speech.

Debate

Judges should reward reasoning quality, not just confidence or speaking volume.

Judge responsibilities

Listen for the strongest claim from each side, track whether the motion was addressed, and note where teams used or ignored the ethical framework.

Suggested rubric

1. Clarity of position
2. Strength of evidence/examples
3. Use of MIS ethics concepts
4. Quality of rebuttal
5. Overall persuasiveness

End-of-debate output

For each debate, judges should give:

- one strength from each side
- one weakness from each side
- final winner with a short justification

Debate

Debate 1: AI Training & Creator Rights

AI companies should be permitted to train models on publicly available content without obtaining prior consent from creators.

Debate 2: Algorithmic Personalization

The harms of personalized algorithms outweigh their benefits.